

SECURITIES AND EXCHANGE BOARD OF INDIA
OFFICE OF INVESTOR ASSISTANCE AND EDUCATION, MUMBAI
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Online Dispute Resolution (ODR) Portal in the Indian Securities Market

1. SMART ODR Portal Architecture: The Securities Market Approach to Resolution Through Technology (SMART ODR) Portal ecosystem for conciliation and online arbitration of disputes between investors and listed entities or registered market intermediaries.
2. Escalation Mechanism: Investors must first lodge complaints on the SEBI SCORES portal or directly with the intermediary. If the dispute is not resolved through the intermediary within 21 calendar days, the investor may escalate the dispute to the ODR Portal.
3. Conciliation Timelines: The appointed Conciliator shall conduct online conciliation sessions and conclude proceedings within 30 days of appointment. If conciliation succeeds, a settlement agreement signed electronically by both parties shall be binding.

4. Arbitration Timelines: If conciliation fails, either party may initiate online arbitration within 14 calendar days. The appointed Arbitrator or Arbitral Tribunal shall pass an arbitral award within 30 calendar days of commencement of arbitration proceedings.
5. Fee Structure and Investor Exemption: For all claims up to rupees five lakh (INR 5,00,000), the investor is completely exempt from conciliation and arbitration fees. The entire fee of the conciliators and arbitrators for such claims is funded by the concerned Market Infrastructure Institutions (Stock Exchanges and Depositories).
6. Fast-Track Arbitration: For disputes with claim value exceeding rupees five lakh up to rupees thirty lakh, sole arbitrators conduct summary document-based proceedings without mandatory oral hearings.

7. Pre-Deposit Requirement for Challenging Awards: Where a market intermediary or listed entity files an application in court under Section 34 of the Arbitration and Conciliation Act, 1996 challenging an arbitral award passed in favor of an investor, it must deposit seventy-five percent (75 percent) of the awarded amount with the Stock Exchange prior to filing the challenge.
8. Release of Pre-Deposit to Investor: In hardship cases, the Stock Exchange may release up to fifty percent of the pre-deposit amount to the investor against an indemnity bond pending the outcome of the court proceedings.
9. Enforcement of Settlement Agreements: Settlement agreements concluded during conciliation have the same legal status as an arbitral award on agreed terms under Section 73 of the Arbitration and Conciliation Act.

10. Empanelment Criteria for Arbitrators: ODR Institutions must empanel professionals who possess at least ten years of judicial, legal, or financial market experience. Empanelled arbitrators must sign an annual code of conduct confirming independence and impartiality.

11. Language of Proceedings: ODR conciliation and arbitration sessions are conducted in English or Hindi, or in any regional language mutually agreed upon by the parties.

12. MIS Reporting by MIIs: Stock Exchanges and Depositories shall publish monthly statistics on the number of disputes registered, conciliation success rates, and average time taken for dispute resolution on their websites.

Yours faithfully,

(S. Manjesh Roy)

General Manager